

ENTREPRENEURSHIP

Chapter 2

The Entrepreneurial Process



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Entrepreneurship Defined:

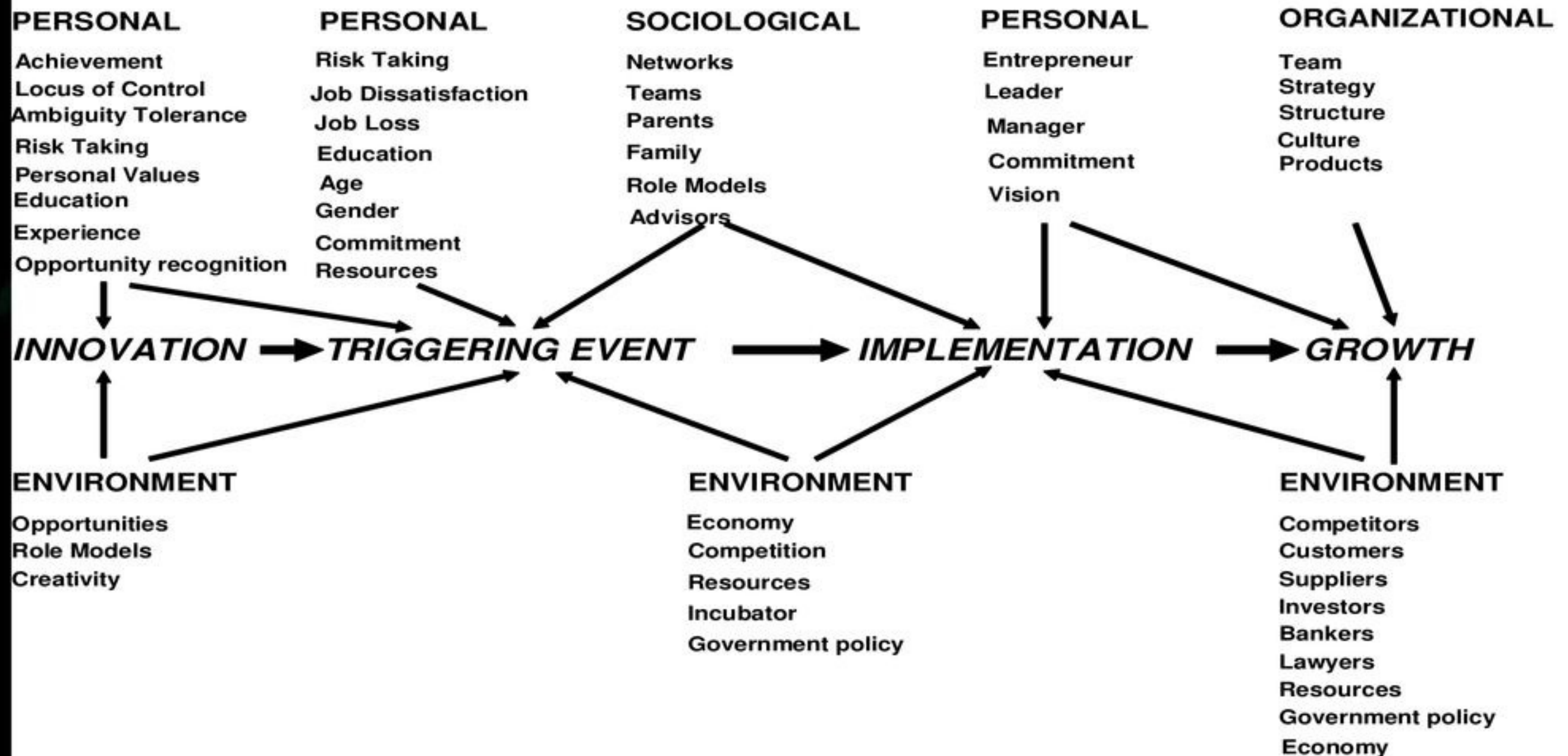
Entrepreneur: someone who perceives an opportunity and builds an organization to pursue that opportunity.

Entrepreneurship: involves all the functions, activities, and actions associated with perceiving opportunities and creating organizations to pursue them. These include:

- Market and Customer Research
- Service and Product Innovation
- Team Building
- Finding & Managing Resources
- Leadership
- Etc...

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A model of the entrepreneurial process



Based on Carol Moore's Model (Moore 1986)

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Factors Influencing the Decision to Start a Company

Personal Attributes



- Higher Internal Locus of Control
- Desire for Financial Success
- Desire to Achieve Self-Realization
- Desire for Recognition
- Joy of Innovation
- Risk Tolerance

Environmental Factors



- Local, Regional, or National attitudes towards entrepreneurship
- Social and cultural pressures for or against risk taking and entrepreneurship
- Access to entrepreneurial role models
- Responsibilities to family and community

**Remember: No single type of person is best suited for entrepreneurship!
Entrepreneurs come from all walks of life, backgrounds, etc!**

The Most Important Characteristics of Entrepreneurs: The 10 Ds

Dream: Entrepreneurs have a vision of what the future could be like for them and their businesses. And, more important, they have the ability to implement their dreams.

Decisiveness: They don't procrastinate. They make decisions swiftly. Their swiftness is a key factor in their success.

Doers: Once they decide on a course of action, they implement it as quickly as possible.

Determination: They implement their ventures with total commitment. They seldom give up, even when confronted by obstacles that seem insurmountable.

Dedication: They are totally dedicated to their businesses, sometimes at considerable cost to their relationships with friends and families. They work tirelessly. Twelve-hour days, and seven-day work weeks are not uncommon when an entrepreneur is striving to get a business off the ground.

Devotion: Entrepreneurs love what they do. It is that love that sustains them when the going gets tough. And it is love of their product or service that makes them so effective at selling it.

Details: It is said that the devil resides in the details. That is never more true than in starting and growing a business. The entrepreneur must be on top of the critical details.

Destiny: They want to be in charge of their own destiny rather than dependent on an employer.

Dollars: Getting rich is not the prime motivator of entrepreneurs. Money is more a measure of success. They assume that if they are successful they will be rewarded.

Distribute: Entrepreneurs distribute the ownership of their businesses with key employees who are critical to the success of the business.

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Before Making the Commitment Would be Entrepreneurs Must:

1) Assess their own financial reality.

It can be very difficult to sustain a salary in the early years of starting a new business, and as a result it is essential for would be entrepreneurs to work through their own personal income needs. If they have a family or other responsibilities that make taking a financial risk more difficult, entrepreneurs must complete an honest assessment of whether and when the company will be able to match past salary levels.

2) Identify key contacts in their networks.

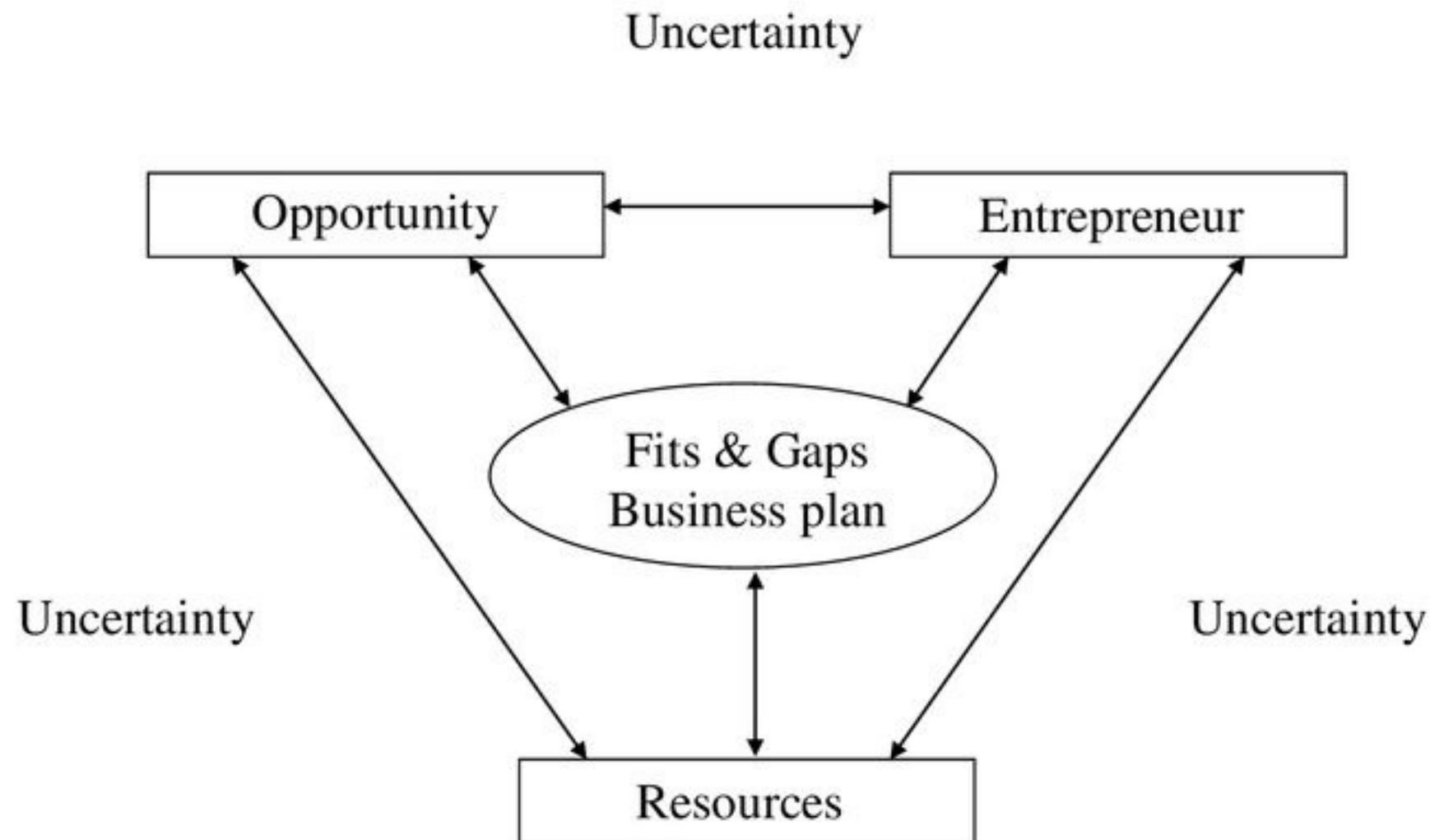
The people in an entrepreneur's network are his or her greatest potential source of capital, clients, employees, and feedback. Before jumping into an entrepreneurial endeavor it's essential to take an inventory of the resources in one's network.

3) Reach out to sources of free advice and feedback.

Most people root for the underdog, and as a result would be entrepreneurs have at their disposal the advice and good will of countless people in their communities and the business world at large. The best entrepreneurs reach out to these communities for all the free advice and wisdom they can get.

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The Timmons Model for Entrepreneurial Success:



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The Tenets of the Timmons Model:

1) The Opportunity

- Is there a clear customer need for the proposed product or service?
- Is the timing right: is the team ready, is the market ready?
- Ideas are a dime a dozen – it's the combination of the factors above and the execution of the business plan that makes an idea an opportunity.

2) The Lead Entrepreneur and Management Team

- Experience within the proposed industry can be essential to success.
- Investors and other backers prefer to see a track record of driving growth and profits.
- An 'A' team with a 'B' idea is almost always better than the opposite.

3) The Resources

- Resources include capital, technology, equipment, and most importantly – people.
- The entrepreneur's mantra is one of Low Overhead, High Productivity, and Controlling but not Owning resources.
- The best entrepreneurs are incredibly creative at finding ways to get things done inexpensively and effectively. You can always find ways to do things faster, cheaper, or better!

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There are Two Key Forms of Start Up Capital

Debt



- Requires no transfer of ownership of the company.
- Presents potential for higher risk for the entrepreneur.
- Requires repayment, and therefore careful cash flow planning.

Equity



- Investors gain an ownership stake in the company through a transfer of shares.
- This transfers most of the risk to the investor, which explains the costs and expected returns.
- Does not require repayment, but does require careful capital planning and investment.

Remember: Most companies will never take on outside investors, and many will never use debt financing for growth.

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A Sample Financing Path:

**Personal Savings
& Sweat Equity**



**Angel
Investment**



Bank & SBA (small business
administration) **Loans**



**Venture
Capital**



**Initial Public
Offering**

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Happiness is a Positive Cash Flow!

It's Essential to Understand the Difference between Profits and Cash Flow:

- A profitable company can have a negative cash flow and risk running out of money.
- An unprofitable company can have a positive cash flow and be on a healthy trajectory.

Profit is measured as a Gain or Loss on the Income Statement, however...

- It is typically measured on an accrual basis, and therefore does not accurately reflect the cash inflows and outflows of the company.
- Some transactions of cash occur off the Income Statement, and therefore impact cash flow but not profits. A good example is repayment of a loan, which reduces cash balances but has no impact on profits or losses.

Cash Flow measures the increase/decrease of cash during a given timeframe:

- It is comprised of three elements: operations, investing, and financing.
- Each of these areas can have a tangible impact on the Cash Flows of a business, and must be planned and monitored closely.
- Positive or Negative Cash Flows are not necessarily good or bad on their own. What matters is the context – is the company growing, struggling, etc?

The Most Important Characteristics of a Successful Company:

The 9 Fs

Founders	Every startup company must have a first-class entrepreneur.
Focused	Entrepreneurial companies focus on niche markets. They specialize.
Fast	They make decisions quickly and implement them swiftly.
Flexible	They keep an open mind. They respond to change.
Forever-innovating	They are tireless innovators.
Flat	Entrepreneurial organizations have as few layers of management as possible.
Frugal	By keeping overhead low and productivity high, entrepreneurial companies keep costs down.
Friendly	Entrepreneurial companies are friendly to their customers, suppliers, and employees.
Fun	It's fun to be associated with an entrepreneurial company.